

Other Ethical Conflicts

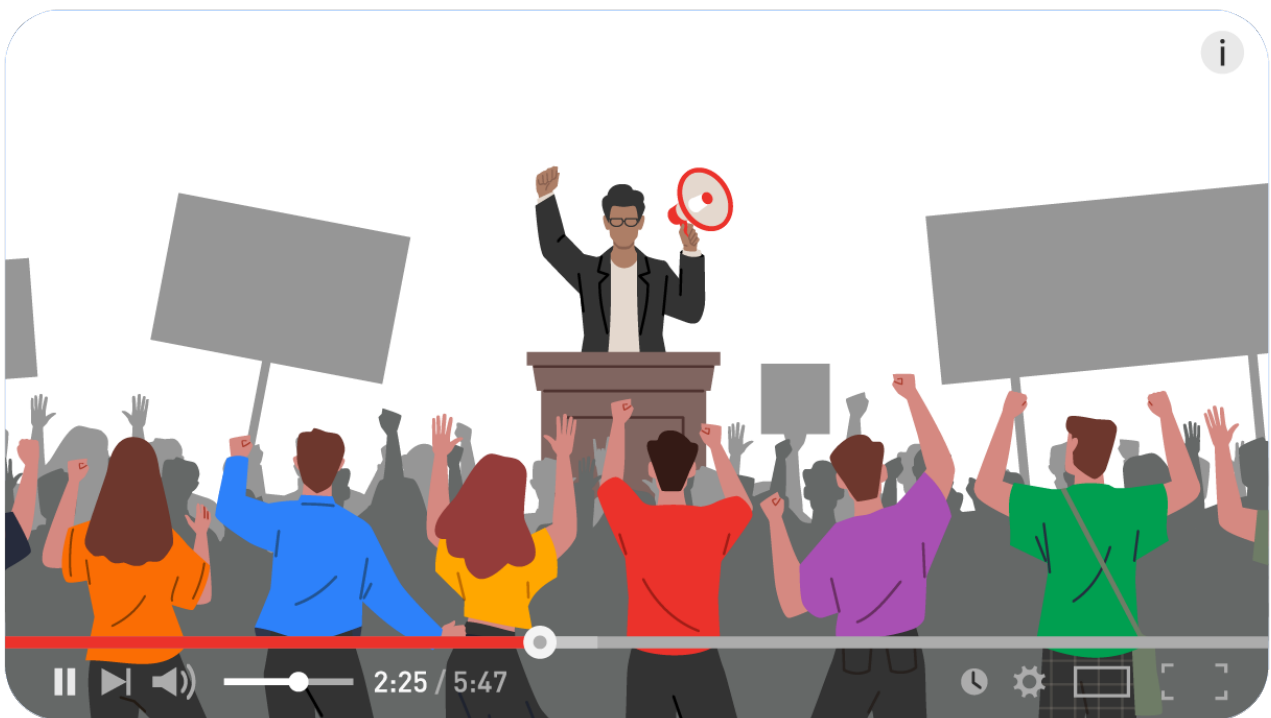
by Sophia



WHAT'S COVERED

In this lesson, you will look at some examples of situations where different groups of stakeholders have claims in direct opposition to one another. Specifically, this lesson will cover:

1. Firing Employees for Non-Work-Related Reasons



Behavior outside of work may still draw negative attention to the company, and put a manager in a difficult legal and ethical position.

In the last fifteen years, there have been many viral videos or social media posts that made somebody famous for a day and cost them their job. One early example of this was Justine Sacco, who tweeted a joke about catching AIDS as she boarded a flight to South Africa. Because she did not have access to the internet during

the flight, she did not know until she'd landed that the tweet had gone viral, for all the wrong reasons, and she had been fired. Indeed, the flight was long enough that she could even see hundreds of posts with people gleefully considering her reaction when she saw how much hot water her tweet had landed her in (Ronson, 2015). But many more have joined Sacco on the unemployment line after they make inflammatory posts or are caught on video.

While dozens, even hundreds, of well-publicized cases exist, firing employees for social media posts is even more common than you might think. According to Career Builder (2018), one company in three has disciplined or fired someone for their use of social media. While this is more understandable if the worker is disparaging the company or abusing social media on company time, it is another matter when the person's social media presence is completely independent of their professional life. However objectionable the post, is it an employer's job to monitor an employee's social media posts? Is it appropriate?



Imagine you are a manager of a senior staff member who has been with the company for thirty years and is approaching retirement. His presence at work has always been professional and courteous, and he is generally liked, if not well-known outside of his work life. As an accountant, he is important to the company but not irreplaceable. He does not have a leadership position.

One Monday morning you find your email inbox flooded with messages from strangers. Your colleague was identified at a protest in a video of an organization considered a hate group, and you confirm that it's your employee in the video. He does not do anything illegal in the video, but shouts statements that most people would find offensive.

While you are shocked to find that the staff person belongs to such a group, you are also unsure if you can legally terminate employment for something that happened outside of office hours. You check the code of conduct and find there is no clause or section dedicated to that topic. While there is a social media policy, it only covers disparagement of the company. You are also unsure where you stand ethically. He did nothing at work, and nothing to incriminate the business. Since you are a privately owned company with loyal customers and little competition, you are not as concerned about the bad publicity as you are about workplace morale.

Who are the stakeholders in this situation? For each group you consider, consider what their claim is, or might be. Also remember to consider their influence on and interest in the company. +

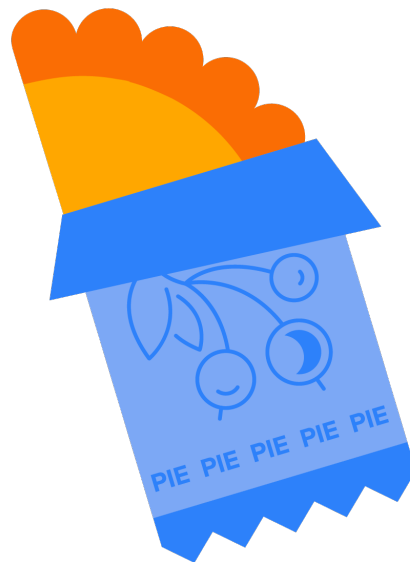
Clearly the stakeholder with the greatest interest is the employee whose job is on the line. His influence is connected to his importance in the business. His claim is that his actions outside of work are his own business, since they were legal and did not incriminate the company in any way. He feels his rights to free expression and privacy are being violated.

Another group of stakeholders are those demanding he be fired. Since they are unlikely to be customers and most do not live in the area, they would be considered low-interest and low-influence stakeholders. However, this does not mean their claim is not important or that they can be disregarded.

The key stakeholder group is other staff, which includes members of the marginalized group his hate

group has targeted. What would the climate at work be if continued to work there? Would it make other staff feel unwelcome if you were tolerant of his hateful views? What would the climate be like if he was fired? Might it make other staff uneasy if they know they can be let go for things they do on their own time or for having “unpopular opinions”? No decision should be made prior to consulting with this group of stakeholders.

2. Changing the Recipe



Customers want the products they love to stay exactly the same, including the size and price. But circumstances may make that impossible.

One of the more common controversies that older companies experience is having to change a product to remain competitive, either due to raising costs or to changing trends and customer input. One of the most famous is the short-lived “New Coke,” launched by Coca Cola in 1985. One of the key changes in the formula was replacing cane sugar with high fructose corn syrup, making for a sweeter but less crisp flavor. New Coke was reviled by the public and Coca Cola quickly restored “Classic Coke.” However, even “Classic Coke” now has corn syrup instead of cane sugar in the U.S. market, one of many products that has switched to the cheaper sweetener (Bryant, 2023).

In fact, few products have the same ingredients that they did originally. Frito-Lay has tampered with their Doritos flavors many times over the years, with customers usually responding negatively when they notice the change. Kraft changed the ingredients of their Macaroni and Cheese to have only natural colors, which was barely noticed by consumers.

Along with changed recipes, companies frequently find a compromise between keeping the same recipes and the same pricing despite rising costs of production by “shrinkflation,” or slightly decreasing the volume of a product. A 12-ounce beverage might become 11.5 ounces. Tomatoes that used to be sold by the pound changed to 15-ounce cans, then 14.5-ounce cans. A personal-sized bag of corn chips suddenly has five fewer chips, even if the package is the same size.

One of the ethical challenges in these situations is whether to make the change quietly, a little bit at a time, in the hopes that nobody will notice, or have full transparency. While transparency is generally considered best, changes to beloved products almost always lead to public blowback. At the same time, a lack of transparency might do more damage than the changes themselves as they lead to a lack of trust and goodwill among stakeholders.



TRY IT

You are in charge of quality control at a bakery with a strong local presence. Your company's snack pies have been favorites of people in the metropolitan area for decades, outselling national brands like Hostess and Little Debbie. Unfortunately, the rising costs of ingredients have made it difficult to compete with those brands. When you experiment with raising prices, sales drop. Your company has also been acquired by a big corporation headquartered in a different city, and there is pressure to show rising profits every quarter.

The options corporate overseers suggest are to change the ingredients, such as using vegetable oil instead of butter; to make the pies slightly smaller; or a combination of the two. However, one of the hallmarks of your brand is consistency. You have commercials featuring people in their sixties and seventies, biting into a pie and recalling being ten years old, snacking on the same pie in the same packaging. Changing the product will change your brand.

Who are the stakeholders in this situation? For each group you consider, consider what their claim is, or might be. Also remember to consider their influence on and interest in the company.

+

The stakeholder with the most influence is the corporation that has acquired your company. Their interest in your company is purely financial and short-term, but because they ultimately call the shots, you must respond to their claim.

The other important stakeholder group is your customer base. As a group, they can be influential, and yours have more interest than they might for other snack food products, since your pies are part of a local identity and tradition. Other stakeholders include your staff, who are reliant on ongoing business, and the stores that sell them, but of course these are closely connected to maintaining the customer loyalty you have built over the years.

You are in an unfortunate position unless you can persuade the corporation and its shareholders to take a long view of your company's success and allow it to find solutions to meeting the rising costs of production without sacrificing quality and losing customers. The upside of being part of a large corporation is that short-term losses can be absorbed, but you must build relationships and instill appreciation for what your company does to do this.

3. Conducting Business in Other Countries



There is often pressure to divest in a country with a bad record on human rights, but sometimes a company may see their economic involvement as an opportunity to bring change.

Recall from earlier tutorials that one ethical challenge of working internationally is that businesses in other countries may have different ethical standards. For example, bribery may be considered “part of the business” in some parts of the world to get through bureaucratic government processes. However, a consistent cross-cultural set of ethics is necessary for businesses to build trust and thrive.

Many more ethical considerations come into play considering the human rights record of a country. For example, in the 1980s many companies were pressured to divest in South Africa due to the practice of apartheid, a legal structure of white supremacy that ended in the early 1990s (Gethard, 2022). Companies also face ethical challenges when using offshore labor, which may include enslaved laborers or child laborers (Pang, 2022). Yet another consideration is a country’s commitment to freedom of expression and democracy. In the U.S., for example, most business conducted with Cuba was suspended for decades with consequences for a number of industries (Oliver & Nodarse Venancio, 2022). When a country refuses to do business entirely with another due to political or social reasons, this is called an **embargo**.

However, what does a business do when the country is one of the biggest markets in the world? With a population of over a billion people, China is an attractive market to sell products, as well as a source of material and labor. However, China also practices government censorship at a level unprecedented in most of the Western world. This is a special challenge to an informational resource like Google. With the motto, “Don’t be evil,” they had to assess what role they could have in China. They had hoped that perhaps by working with China, they could tap an enormous new market and nudge them toward a less censorial practice. For example, a search of the Tiananmen Square protest of 1989 in most of the world will show that the Chinese military killed hundreds of protestors in June of that year. A search done in China only returns partial information that paints a more favorable picture of the government’s response to the protests. The search results are different depending on where you are, and what censorship is in place to frame, omit, or influence

the results to a specific point of view. Even knowing that some results were filtered, Google reasoned, they would empower Chinese citizens. But following a Chinese government-backed hack of Google data that compromised the communications of political dissidents, Google started to withdraw from China, maintaining a base in Hong Kong that was sporadically available in China. The bigger question was not answered: Should a company committed to making information available allow that information to be censored?



TRY IT

Imagine you are an executive with a startup company that helps customers access information, and you face a similar dilemma of negotiating with the government of a country that could potentially be an enormous new market but would expect you to compromise the quality of the information you deliver to their citizens.

Who are the stakeholders in this situation? For each group you consider, consider what their claim is, or might be. Also remember to consider their influence on and interest in the company. +

In this example, the key stakeholders are the shareholders, and their claim is the desire to increase the value of their stock and make profits. However, the ESG implications are also high; a decision to cooperate with an oppressive government might hurt your ESG scores and cause investment companies to divest if their customers pressure them to do so. No decision can be made without finding out which way your shareholders want your business to go.

The examples of ethical dilemmas in this tutorial are only a few of the many that can occur where different groups of stakeholders have different claims. While ethical decision making is ideally driven by a sound ethical theory and good information, separate from self-interest, an ethical leader must also listen to all stakeholders and consider the ramifications of their decisions for all the people affected. Remember that transparency can make even unpopular decisions understandable. Furthermore, if you have maintained high ethical standards, your judgment will be trusted even if people don't agree with the decision.



TERM TO KNOW

Embargo

When a country ceases doing business with another country, usually making it illegal to do so.



SUMMARY

In this lesson, you considered other ethical conflicts that might arise. For example, poor decisions on social media or other bad public behavior can put pressure on managers to **fire employees for non-work-related reasons**. Another challenge is **changing a beloved product**, such as the recipe to a popular snack. As businesses struggle with challenges, sometimes cost-cutting measures are implemented to improve the bottom line. **Conducting business in other countries** is never simple or easy, but it is especially fraught when the country is known to have social or political practices we consider oppressive. These are only three cases where there may be different stakeholders making different demands, and one crucial step is identifying which group of stakeholders matters most. In some cases, it may mean improving a stakeholder relationship so they support decisions they don't initially appreciate.

Source: THIS TUTORIAL WAS AUTHORED BY SOPHIA LEARNING. PLEASE SEE OUR [TERMS OF USE](#).

REFERENCES

Bryant, K. (2023, January 27). 13 Times Food Brands Changed Iconic Recipes—And Shocked the Industry. *Reader's Digest*. www.rd.com/list/times-food-brands-changed-iconic-recipes/

Career Builder (2018, August 9). More Than Half of Employers Have Found Content on Social Media That Caused Them NOT to Hire a Candidate, According to Recent CareerBuilder Survey [Press]. press.careerbuilder.com/2018-08-09-More-Than-Half-of-Employers-Have-Found-Content-on-Social-Media-That-Caused-Them-NOT-to-Hire-a-Candidate-According-to-Recent-CareerBuilder-Survey

Gethard, G. (2022, July 2). *Protest Divestment and the End of Apartheid*. Investopedia. www.investopedia.com/articles/economics/08/protest-divestment-south-africa.asp

Oliver, I. & Nodarse Venancio, M. (2022, February 4). *Understanding the Failure of the U.S. Embargo on Cuba* The Washington Office on Latin America. www.wola.org/analysis/understanding-failure-of-us-cuba-embargo/

Pang, A. (2022, January 5). *The China Challenge: The Stain of Forced Labor on Nike Shoes*. Discourse. www.discoursemagazine.com/economics/2022/01/05/the-china-challenge-the-stain-of-forced-labor-on-nike-shoes/

Ronson, J. (2015, February 12). How One Stupid Tweet Blew Up Justine Sacco's Life. *New York Times*. www.nytimes.com/2015/02/15/magazine/how-one-stupid-tweet-ruined-justine-saccos-life.html

Wikipedia (n.d.) *Shrinkflation*. en.wikipedia.org/wiki/Shrinkflation



TERMS TO KNOW

Embargo

When a country ceases doing business with another country, usually making it illegal to do so.